

Characteristic	Discussion
Breakout direction	Can be in any direction but breaks out upward most often.

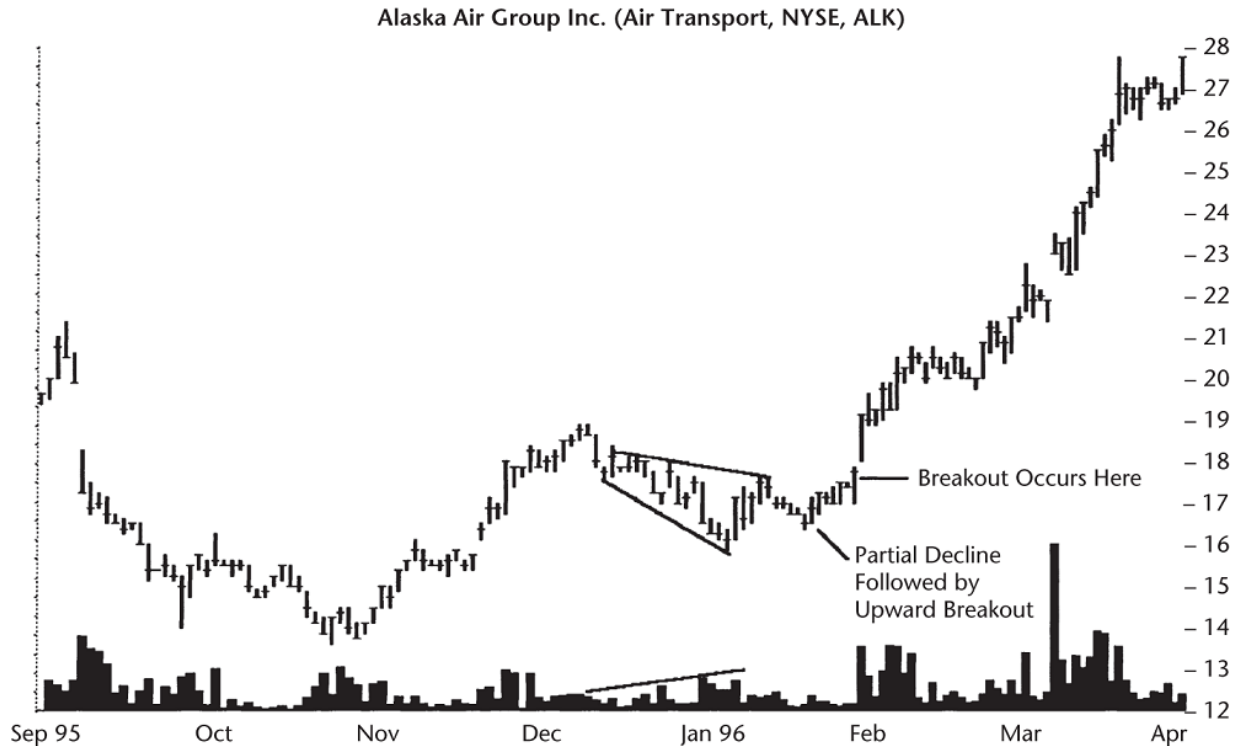


Figure 13.3 This descending broadening wedge is a consolidation pattern in a rising trend. Volume increases even as price heads down. A partial decline signals that an upward breakout is coming.

Trendlines. The figure shows two down-sloping trendlines that encompass a series of oscillating waves. The oscillations become more violent, swinging up and down in wider and wider arcs, leaving behind diverging trendlines.

Touches. Each valid trendline touch should be a minor high or a minor low, or it won't count as a touch. That means a touch does not count at the start or end of the pattern if price straddles the trendline (if no minor high or low appears there). Look for at least five touches, three on one trendline and two on the other, but they need not alternate. Use the figures in this chapter as guidance.

Whitespace. Price should cross the pattern from top to bottom so that it covers the whitespace with movement. Too much whitespace in a pattern